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General Electric, Honeywell Post Downbeat Revenue

Industrial giants' results weighed down by slow growth and low oil prices

By Ted Mann

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General Electric beat profit forecasts, but said industrial orders fell 16% in the second quarter. [REUTERS](#)

Industrial giants General Electric Co. [GE -0.04%](#) ▼ and Honeywell International Inc. reported downbeat quarterly revenue Friday, weighed down by slow growth and cheap oil, while promising better results going forward.

GE beat profit forecasts, but said industrial orders—a key measure of future demand for GE's jet engines, power turbines and oil production equipment—fell 16% in the second quarter, excluding recent acquisitions. Despite a 1% decline in organic industrial revenue in the first half of the year, executives stuck by their target of 2% to 4% growth for the year.

Honeywell, a maker of aerospace systems and building controls, warned it now expects organic revenue to fall 1% for the year, instead of rising between 1% and 2%. Core organic sales fell 2% in the quarter.

Shares of Honeywell fell 3.5% to \$114.54 in midday trading Friday, while GE's shares, up more than 20% over the past year, dropped 2.2% to \$31.88.

Industrial companies have been coping for years with anemic macroeconomic growth, scouting out spots of demand around the globe for the expensive heavy machinery they sell.

On Friday, both conglomerates said their portfolios remained relatively strong, but were held back in the second quarter, especially because of the outsize impact of low oil prices.

GE's challenges are multiple but consistent, Chief Financial Officer Jeffrey Bornstein said, borne out of slow global economic growth and turbulent geopolitical times—everything from the U.K. vote to leave the European Union to Middle East turmoil and currency shifts.

“All this uncertainty generally limits growth,” Mr. Bornstein said.

The company forecasts revenue will improve over the remainder of the year, helped by an anticipated surge in power turbine shipments.

“Bottom line, we are seeing organic growth accelerating in the second half,” Chief Executive Jeff Immelt said on a conference call Friday. While the company's oil and gas and transportation businesses are in “tough cycles,” he said the outlook for the global economy “is no better, no worse” than earlier in the year and “85% of our company is in great shape.”

The heaviest drag on GE's performance continues to be its oil and gas equipment business, which has struggled since oil drillers and producers slashed capital

spending amid the long-term slump in crude oil prices. Mr. Immelt said he saw no likelihood that the oil outlook would improve in 2017.



Technicians are pictured around a LEAP-1A engine developed by CFM, a joint venture between France's Safran and General Electric. REMY GABALDA/AGENCE FRANCE-PRESSE/GETTY IMAGES

Revenue from its oil and gas division fell 22% and profit dropped 48% in the quarter. Orders fell 34% compared with last year. GE said it is continuing to target \$800 million of cost-cutting in the oil business for the year to offset falling revenue and profits.

Overall for the period ended June 30, GE reported a profit of \$2.74 billion, compared with a \$1.36 billion loss a year ago. Revenue rose 15% to \$33.5 billion, helped by last year's acquisition of Alstom SA's power business.

Meanwhile, Honeywell Chief Financial Officer Thomas Szlosek said in an interview that the pressures on the company's petroleum processing supply business were already starting to ease, but not before it helped drive the company's second-quarter decline in core organic revenue, which excludes acquisitions.

In addition to oil, Honeywell had to deal with tough comparisons to last year's big deals, like its sale of hand-held scanning equipment to the U.S. Postal Service, as well as a long-anticipated spike in the sales incentives it offers airplane makers in exchange for placing its equipment and systems on new planes.

"Those headwinds stop" after 2016, CEO Dave Cote said. "It's just a matter of dealing with them as they are today."

For the quarter, Honeywell reported a 7.6% increase in profit to \$1.28 billion from a year prior. Total revenue grew 2.2% to \$9.99 billion.

—Anne Steele contributed to this article.

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Ted Mann was a reporter in the Journal's Washington bureau. He previously covered General Electric and other industrial conglomerates for the corporate bureau in New York, and reported on transportation for the Greater New York section. Before joining the Journal, he covered politics and government in Connecticut.

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